

Diversify now: On India and looming economic risks

India needs to expand its trading base to **overcome** global **headwinds**

February's **sharp rise** in the monthly services Purchasing Managers' Index (PMI), to 59, **has** provided a welcome relief to investors and **policymakers**, **following** the rise in GDP growth numbers, released by the National Statistical Office (NSO) for the December quarter of the current **fiscal** (Q3FY25). The strong **rebound** in the services PMI, up from 56.5 in January, which **marked** a 25-month low, **helped offset** the decline in the manufacturing PMI, which fell to a 14-month low of 56.3 in February. A PMI reading above 50 **signals** expansion, while anything below this indicates **contraction**. **The PMI survey**, conducted every month by S&P Global across over 40 countries, **is** a key indicator of economic **momentum**. **The fact** that manufacturing and services — sectors that have **accounted for** about 80% of India's GDP since 2010 — remain in expansion mode **is** positive. This **resilience persists** despite capital outflows from Indian markets, suggesting that the country's economic fundamentals remain strong. A more **telling indicator** of long-term economic strength **is** the quarterly earnings of the Sensex, India's **benchmark index** comprising 30 of the most valued and actively traded companies on the Bombay Stock Exchange (BSE). The Q3FY25 results **point to** solid net profit growth for nearly all firms.

However, looming economic risks remain. The **threat** of **reciprocal tariffs** announced by United States President Donald Trump, and set to **take effect** on April 2, **poses** a challenge for the manufacturing sector. **Meanwhile**, the services sector is facing a different disruption: the rapid **pivot** to artificial intelligence (AI)-driven solutions. While the NSO reported 6.2% real GDP growth for Q3FY25, top **executives** from India's leading IT firms **have**, at an industry event in Mumbai, **cautioned** that growth in the sector could be as low as 5.1% in FY25, up from 3.8% in FY24. Although this may seem **concerning** for an industry that has enjoyed a 16% **compounded annual growth rate** for nearly 25 years, it still represents an increase of \$29 billion, bringing the sector's expected value to \$283 billion in FY25. In its 2025 Strategic Review report, NASSCOM has identified geopolitical **upheavals** and rising tariffs as key challenges. But business leaders at the event **attributed** much of the **slowdown** to the **disruptive** impact of AI, which is reducing earnings from new contracts and reshaping hiring and training practices. India's services and manufacturing sectors face a triple challenge: rapid technological transformation, increasing global **protectionism**, and the potential for a U.S. **recession**. This could have significant **repercussions** for India, **given** that the U.S. remains its largest trading partner. To **navigate** these headwinds, India must urgently diversify its trading base. **[Practice Exercis.]**

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

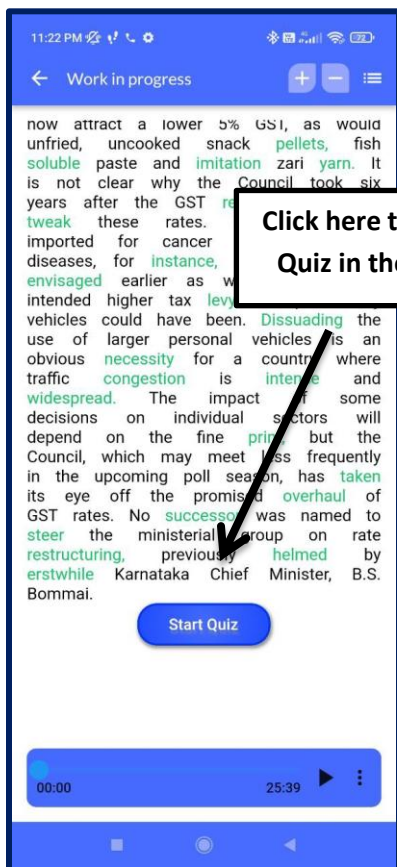
1. **Looming** (adjective) – Impending, Approaching, Threatening, Emerging, Imminent मंडराता
2. **Overcome** (verb) – Conquer, Surmount, Defeat, Master, Prevail over काबू पाना
3. **Headwind** (noun) – Obstacle, Challenge, Resistance, Hindrance, Setback प्रतिकूल परिस्थिति
4. **Policymaker** (noun) – Decision-maker, Legislator, Regulator, Administrator, Official नीति निर्माता
5. **Following** (preposition) – After, Subsequent to, In the wake of, Post, Behind के बाद
6. **Fiscal** (adjective) – Financial, Economic, Budgetary, Monetary, Revenue राजकोषीय
7. **Rebound** (noun) – Recovery, Revival, Bounce-back, Comeback, Upturn पुनरुत्थान
8. **Mark** (verb) – Indicate, Signify, Highlight, Denote, Symbolize चिह्नित करना
9. **Offset** (verb) – Counterbalance, Compensate, Neutralize, Balance, Counteract भरपाई करना
10. **Signal** (verb) – Indicate, Show, Suggest, Point to, Reveal संकेत करना
11. **Contraction** (noun) – Shrinkage, Reduction, Decline, Decrease, Compression घटाव
12. **Momentum** (noun) – Impetus, Drive, Force, Energy, Speed गति
13. **Account for** (phrasal verb) – Represent, Comprise, Constitute बनाना
14. **Resilience** (noun) – Endurance, Toughness, Flexibility, Strength, Fortitude मजबूती
15. **Persist** (verb) – Continue, Endure, Persevere, Remain, Last बने रहना
16. **Telling** (adjective) – Revealing, Significant, Meaningful, Convincing, Striking महत्वपूर्ण
17. **Benchmark index** (noun) – Here it refers to Bombay Stock Exchange, National stock exchange मानक सूचकांक
18. **Point to** (phrasal verb) – Indicate, Suggest, Highlight, Show, Demonstrate संकेत करना
19. **Reciprocal** (adjective) – Mutual, Corresponding, Complementary, Bilateral, Exchangeable पारस्परिक
20. **Tariff** (noun) – Duty, Tax, Levy, Charge, Impost शुल्क
21. **Take effect** (phrase) – Implement, Enforce, Activate, Operate, Commence प्रभावी होना
22. **Pose** (verb) – Present, Create, Cause, Raise, Introduce खड़ा करना (चुनौती)
23. **Meanwhile** (adverb) – Simultaneously, Concurrently, In the meantime, At the same time, Meanwhile इस दौरान

24. **Pivot** (noun) – Turning point, Center, Hub, Focus, Axis केंद्र
25. **Executive** (noun) – Manager, Leader, Administrator, Director, Officer कार्यकारी
26. **Caution** (verb) – Warn, Advise, Alert, Counsel, Notify चेतावनी देना
27. **Concerning** (adjective) – Worrying, Disturbing, Troubling, Alarming, Disconcerting चिंताजनक
28. **Compounded annual growth rate** (noun) – one of the most accurate ways to calculate and determine returns for anything that can rise or fall in value over time.
29. **Upheaval** (noun) – Turmoil, Disruption, Chaos, Disturbance, Crisis उथल-पुथल
30. **Attributed** (to) (verb) – Ascribed, Credited, Assigned, Linked, Connected जिम्मेदार ठहराना
31. **Slowdown** (noun) – Decline, Slump, Downturn, Deceleration, Stagnation मंदी
32. **Disruptive** (adjective) – Disturbing, Troublesome, Destructive, Unsettling, Intrusive विघटनकारी
33. **Protectionism** (noun) – Trade barriers, Tariffs, Restrictions, Isolationism, Economic nationalism संरक्षणवाद
34. **Recession** (noun) – Downturn, Slump, Decline, Depression, Stagnation मंदी
35. **Repercussion** (noun) – Consequence, Effect, Impact, Ramification, Outcome प्रभाव
36. **Given** (preposition) – Considering, Granted, Provided, Acknowledging, Assumed देखते हुए
37. **Navigate** (verb) – Steer, Guide, Direct, Maneuver, Pilot मार्गदर्शन करना

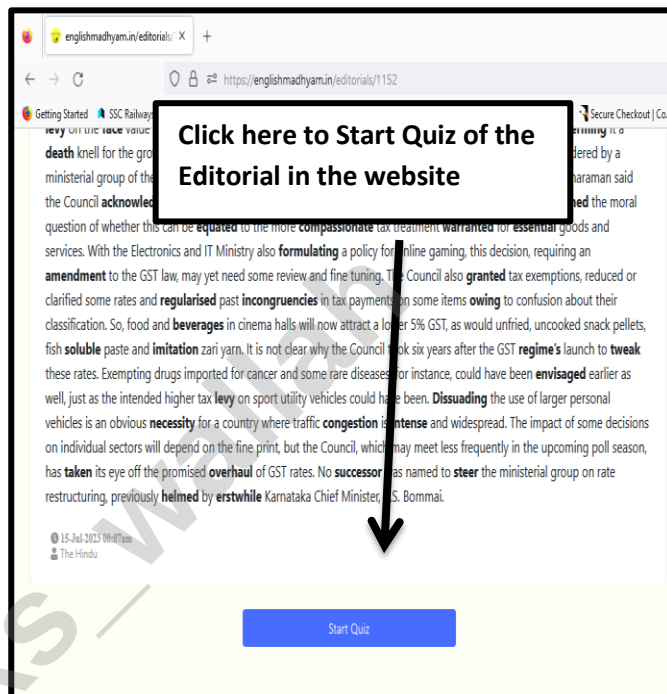
Summary of the Editorial

1. **Positive PMI Data:** February's services PMI rose to 59, signaling economic expansion and providing relief after a 25-month low in January.
2. **Manufacturing PMI Decline:** The manufacturing PMI fell to a 14-month low of 56.3 in February, but it remains in expansion territory (above 50).
3. **Economic Resilience:** Despite capital outflows, India's manufacturing and services sectors, which contribute 80% to GDP, show resilience.
4. **Strong Sensex Earnings:** Q3FY25 results indicate solid net profit growth for most Sensex companies, reflecting robust economic fundamentals.
5. **Looming Tariff Threats:** U.S. President Donald Trump's reciprocal tariffs, effective April 2, pose a significant risk to India's manufacturing sector.
6. **AI Disruption in Services:** The rapid adoption of AI-driven solutions is disrupting the services sector, particularly IT, with growth projected to slow to 5.1% in FY25.
7. **IT Sector Growth:** Despite the slowdown, the IT sector is expected to grow by 29billion, reaching 29billion, reaching 283 billion in FY25.
8. **Geopolitical and Tariff Challenges:** NASSCOM's 2025 Strategic Review highlights geopolitical upheavals and rising tariffs as key risks for India's IT industry.
9. **AI's Impact on Earnings:** AI is reducing earnings from new contracts and transforming hiring and training practices in the IT sector.
10. **Triple Challenge for India:** India faces rapid technological change, global protectionism, and the risk of a U.S. recession, which could impact its economy.
11. **U.S. as Key Trading Partner:** The U.S. is India's largest trading partner, making it vulnerable to economic shifts in the U.S. market.
12. **Need for Diversification:** To mitigate risks, India must urgently diversify its trading base and reduce reliance on a few key markets.
13. **Global Headwinds:** Rising protectionism and technological disruptions underscore the need for India to adapt and innovate.
14. **Long-Term Economic Strength:** While current indicators are positive, long-term economic stability requires addressing structural challenges.
15. **Call for Strategic Action:** Policymakers and businesses must collaborate to navigate global uncertainties and ensure sustainable growth.

Practice Exercise: Banking Pattern Based



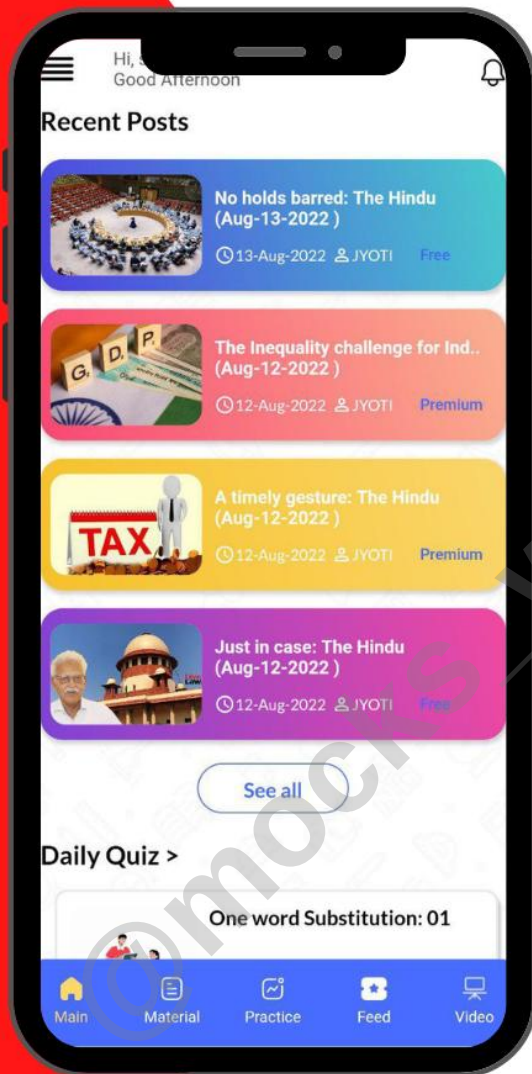
Click here to Start Quiz in the App



Click here to Start Quiz of the Editorial in the website

[Click here to download App](#)

[Click here to visit website](#)



Learn Vocabulary Through Reading Articles

English Madhyam